

COMMERCIAL & SAAS COLLECTIONS · REFERENCE

Disputed & Non-Responsive Invoices

How contested B2B invoices are validated, how silent commercial accounts are recovered, and what the law and the fees actually look like

Two situations account for most of the receivables a B2B or SaaS finance team cannot resolve on its own: the invoice a customer *disputes*, and the customer who simply stops responding. They look different but share a solution — a documented, professional process that either resolves the dispute on its merits or applies escalating, lawful pressure until a silent account re-engages. This reference walks through both, then covers the questions finance leaders always ask next: how do you stop disputes before they start, what does recovery cost, what does the law allow, and how do you choose an agency?

Executive summary

- A dispute pauses recovery; it does not end it. Documentation — order form, invoices, usage/delivery records, communications — decides it, usually within a **30–60 day** investigation.
- Silent accounts are recovered through an escalating ladder: third-party demand, omnichannel outreach, commercial skip tracing, commercial credit reporting, and, last, legal action.
- Commercial contingency is typically a sliding scale — roughly **10–40%** of what is recovered, with pre-collection/early-out lower (~5–10%) — and **no upfront cost** on a pure-contingency model.
- B2B debt is **not consumer debt**: the FDCPA's consumer rules don't apply, but the UCC and state law — including a **3–6 year statute of limitations** — do.

Who commercial recovery is built for

Third-party commercial recovery earns its keep for businesses that extend trade credit at volume and can't afford to have finance staff chasing departed customers. It is most valuable for mid-market companies — roughly the **\$10M–\$100M revenue** range — where past-due balances are large enough to matter but a full in-house collections function isn't cost-justified. The balance types and sectors we work most often:

COMMON SECTORS	TYPICAL BALANCES WE RECOVER
SaaS & subscription	Subscription and renewal invoices, usage / overage charges, implementation and license fees.
Freight, logistics & transportation	Unpaid freight bills, detention and accessorial charges, brokered-load balances.

COMMON SECTORS	TYPICAL BALANCES WE RECOVER
Manufacturing & distribution	Trade-credit invoices, wholesale and supply balances, parts and equipment.
Construction & contracting	Progress-billing and retainage disputes, subcontractor and materials balances.
Staffing & professional services	Placement fees, retainers, and billed-hours invoices.
Oil, gas & energy services	Field-services and supply invoices — often high-balance and concentrated in a few accounts.

If you extend net terms to other businesses and carry a past-due bucket, the playbook in this paper applies to your book.

Part 1 — The disputed invoice

A dispute pauses recovery; it does not end it. A professional agency does not simply push harder on a contested balance — it runs a structured investigation to establish whether the dispute has merit before pursuing the account, which protects you from both write-offs and liability.

The documentation that resolves a dispute

The more complete the file, the faster a dispute is investigated and closed. For a contested B2B or SaaS invoice, the decisive records are:

DOCUMENT	WHY IT MATTERS
Signed order form, MSA or purchase order	Establishes the agreement, scope, price and terms both sides accepted.
Itemized invoices & statements	Shows exactly what was billed and reconciles line items against the order.
Proof of delivery / service completion	For SaaS, product usage logs and access records; for services, completion or acceptance records.
Full communication trail	Reminders, call logs with dates, prior conversations and the customer’s own dispute correspondence.

Legitimate dispute, or stall tactic?

With the file in hand, the agency contacts both sides to understand the disagreement, then determines legitimacy. The distinction matters: a genuine dispute is returned to you with a resolution recommendation; a stall tactic is worked through professionally with the documentation as leverage.

USUALLY LEGITIMATE	USUALLY A STALL TACTIC
Amount discrepancies that don’t match the signed order or PO	“We never received the invoice” / routing or lost-paperwork claims
Documented quality or delivery problems	Vague dissatisfaction with no specifics

USUALLY LEGITIMATE	USUALLY A STALL TACTIC
Genuine contract-interpretation disagreements with clear terms in play	Repeated new objections each time the last one is answered

A dispute investigation typically extends the collection timeline by 30–60 days, depending on complexity and how complete the documentation is — another reason to place while records are fresh and the paying contact is still reachable.

Preventing disputes before they start

Most disputes are manufactured by process gaps, not genuine disagreement. Closing those gaps up front removes the debtor’s easiest stall:

- **Get it in writing.** A signed order form or MSA with clear scope, price and payment terms leaves little room for “that’s not what we agreed.”
- **Require and reference the PO.** Put the customer’s PO number on every invoice; a mismatched or missing PO is the single most common administrative delay.
- **Capture acceptance.** Keep delivery confirmations, go-live dates, or usage/access records — the proof that value was delivered.
- **Confirm in writing after calls.** A short email summarizing what was agreed turns a verbal understanding into part of the documented trail.

Part 2 — The non-responsive customer

The account that goes silent is the one an in-house AR team is least equipped to chase. Emails go unanswered, the billing contact has moved on, and the business may have restructured, rebranded or quietly wound down. Recovery here is about reach and persistence, applied lawfully.

Why B2B accounts go quiet

- The customer has decided to churn and simply stops engaging with billing.
- The original contact left; the invoice now lands in an inbox no one owns.
- The business moved, was acquired, rebranded, or spun down a division.
- Cash-flow trouble at the customer — the balance is real, but they are avoiding it.

The escalation ladder

How a silent account is actually recovered

- **Third-party demand.** A formal demand on agency letterhead — sent by a traceable method (certified mail, email with read receipt) and stating the amount owed, the invoice reference and a firm deadline — changes the customer's calculus. It signals the balance has left the vendor's AR queue and now carries consequences, and it alone resolves a meaningful share of silent accounts.
- **Persistent omnichannel outreach.** Phone, email, letter and text on a consistent, documented cadence — the sustained follow-up an internal team rarely has capacity to maintain across every account.
- **Commercial skip tracing.** Using databases and tools unavailable to most businesses to locate the current operating entity, successor companies and the principals or guarantors behind a business that has moved, restructured or gone quiet — so demand reaches a party who can actually pay.
- **Commercial credit reporting.** Where reportable, delinquencies can be furnished to commercial bureaus such as Dun & Bradstreet and Experian Business, affecting the debtor's ability to secure trade credit — leverage that consumer-style dunning cannot apply to a business.
- **Legal escalation.** For balances that justify it and won't resolve through outreach, review of suit on the account and judgment enforcement with the client — a considered final resort, not a first move.

Negotiation & payment arrangements

Re-engaging a silent account is only half the job; converting it to cash is the other half. Once a debtor responds, recovery usually resolves one of two ways — both documented in writing:

- **Lump-sum settlement.** A one-time payment, sometimes at a negotiated reduction, that clears the balance immediately. Best when the debtor can pay but has been avoiding it, and when certainty now is worth more than chasing the full amount indefinitely.
- **Structured payment plan.** Scheduled installments with clear terms and a documented payoff date — used when the balance is real but the debtor's cash flow is genuinely constrained. More accounts resolve when there is a realistic path to zero than when the only option offered is pay-in-full.

Timing and technique matter as much as the offer. Early intervention favors phone-based outreach over email in the first contact window — a live conversation re-engages a debtor faster and surfaces which of the two paths fits. And every contact is logged in an organized, chronological record: it strengthens the file, keeps the account moving, and preserves the option to escalate cleanly if an arrangement isn't honored.

A typical escalation timeline

STAGE	TIMEFRAME	ACTION
First reminder	15–30 days past due	Email with invoice details; a phone call if unanswered.
Second notice	45–60 days	Firmer follow-up stating the overdue status plainly.
Formal demand	60–90 days	Written demand letter with a firm deadline, sent certified.

STAGE	TIMEFRAME	ACTION
Agency placement	90–120 days	Third-party referral for omnichannel recovery and skip tracing.

Part 3 — What recovery costs, and how long it takes

Commercial recovery is priced so that it only pays when it works. The right structure depends on the age, size and volume of the accounts.

MODEL	TYPICAL RANGE	WHEN IT FITS
Pre-collection / early-out	~5–10% of recovered	Fresh accounts placed early as an extension of your AR desk; a formal notice whose “psychological impact” often prompts payment.
Contingency (standard)	~10–40% of recovered, sliding	Most placements; fresher, larger, higher-volume books price at the low end, older accounts higher.
Per-account / flat fee	set per account	Occasionally used for high-volume, low-dollar batches.

Ranges reflect commercial-collections norms industry-wide, not a fixed quote. Southwest Recovery Services is pure contingency — no upfront fee, no retainer, no minimum — and quotes a firm rate against a representative sample of your accounts.

Expected timelines

- **Recent invoices (roughly 60–120 days past due):** often resolve within 30–60 days of placement; responsive debtors can move in 30–45 days.
- **Complex or older accounts:** 90–180 days or longer, depending on skip tracing, disputes and negotiation.
- **Legal action:** commonly 6–18 months from filing suit to judgment, plus another 3–12 months for post-judgment enforcement — which is why outreach-first recovery is almost always faster and cheaper.

Part 4 — The law: what you can and can’t do

Commercial collections operate under a different framework than consumer collections, and knowing it protects both your recovery and your business.

Commercial debt is not consumer debt

The Fair Debt Collection Practices Act (FDCPA) governs *consumer* debt. A business-to-business obligation between two companies is not consumer debt, so those specific consumer restrictions do not apply. Commercial recovery is instead governed by the Uniform Commercial Code (UCC) and state contract law. That gives it more room to operate — but a reputable agency still holds every account to a professional, documented standard, because in B2B markets your customer relationships and brand are on the line.

The statute of limitations — a finite clock

Every commercial debt has a legal window during which you can sue to enforce it. Once it expires, you lose the right to sue (though voluntary payment remains possible). The clock generally starts at the date of default or last payment.

OBLIGATION TYPE / STATE	STATUTE OF LIMITATIONS	NOTES
Written commercial contracts (general)	3–6 years	Varies by governing state.
Oral agreements & open accounts	often 3–4 years	Shorter than written contracts.
Texas	4 years	Most written commercial contracts.
California	4 years	Written contracts.
New York	up to 6 years	Among the longer windows.

Statutes vary by state and obligation type; the governing state depends on the contract and the parties. Confirm the applicable limit with licensed counsel — this reference is not legal advice.

Tolling: how the clock can reset

The statute can be tolled or reset in some circumstances — for example, when a debtor makes a partial payment, signs a new acknowledgment of the debt, or enters into a new payment arrangement. Documented communication with a debtor can actually preserve your legal rights beyond the original deadline, which is one reason consistent, recorded follow-up matters so much in commercial collections.

Judgment & enforcement

If a matter proceeds to suit and you prevail, the judgment becomes an enforcement tool: it can support garnishment, liens on assets, and bank-account levies against the debtor business. Court judgments typically remain enforceable far longer than the original statute — on the order of a decade or more depending on state law, and often renewable before they expire. The practical takeaway is the same as the timing lesson elsewhere in this series: act while the account is fresh, the records are complete, and the clock is on your side.

Interest, fees & what a judgment adds

A commercial balance is often more than the face value of the invoice. Where the contract provides for it, a past-due account can carry contractual late fees and interest, and a monetary judgment can add statutory post-judgment interest plus recoverable court costs — which is one more reason a well-documented account with clear written terms is worth materially more at placement than a bare invoice. We pursue the full recoverable balance the documentation and governing law support, not just the principal, and we confirm what is realistically collectible before any account is worked.

Part 5 — Choosing a commercial collection agency

Not all agencies are built for B2B work, and the wrong one can cost you a customer relationship. A short due-diligence checklist:

- **Commercial specialization.** B2B recovery under the UCC is a different discipline than consumer collections — choose an agency that does it as its core business.
- **Licensing & bonding.** Reputable commercial agencies are licensed and bonded where required; industry standards (e.g. the Commercial Collection Agency Association) call for surety bonds of at least \$300,000 and separate trust accounts for collected funds.
- **Compliance-first approach.** Current knowledge of applicable law and a documented process on every account — the difference between leverage that protects you and tactics that create liability.
- **Relationship-preserving.** An agency known for professional, diplomatic recovery rather than aggression — because your customer may renew, and B2B markets are small.
- **Transparent, contingency-based pricing.** No upfront fees, clear rates, and reporting you can see — so you always know the status of every placed account.

Illustrative patterns

Common commercial scenarios show how the process plays out (illustrative, anonymized by sector):

- **Freight / trucking:** a ~\$45,000 balance where a demand letter at 75 days and agency placement at 120 days leads to a negotiated payment arrangement within weeks.
- **Construction / contracting:** a ~\$40,000 disputed balance resolved through a formal demand at 60 days and an agency-facilitated settlement once the documentation was assembled.
- **Oil & gas supply:** 15 invoices totaling ~\$60,000 bundled after 90 days for a single, coordinated resolution rather than fragmented follow-up.

Why this protects Procurify, not just the balance

A past-due customer today can be a renewed customer tomorrow, and B2B markets are small. Firm recovery that stays professional and precisely documented resolves the balance while protecting the relationship and your brand — and shields you from the liability that aggressive or sloppy collections create.

Frequently asked questions

A customer disputes the invoice — is it now uncollectible?

No. A dispute triggers an investigation, not a write-off. If the documentation supports the balance, recovery continues; if the dispute is legitimate, it comes back to you with a recommendation. Either way you get a defensible answer.

Can you collect from a business that has closed or rebranded?

Often, yes. Commercial skip tracing locates successor entities and the principals or guarantors behind the business, so a demand can reach a party able to pay even when the original entity has gone quiet.

Will pursuing an account expose us to liability?

Handled professionally, no — commercial recovery under the UCC and state law, documented at every step, is exactly how liability is avoided. The risk comes from aggressive, undocumented self-collection, not from a compliant third party.

What if the debt is close to the statute of limitations?

Place it immediately. Recorded contact and any partial payment or acknowledgment can toll or reset the clock, and time is the one variable you cannot recover once it is gone.

Key takeaways

- A dispute pauses recovery; it does not end it — documentation resolves it, usually within 30–60 days.
- Silent accounts respond to the escalation ladder: third-party demand, omnichannel outreach, skip tracing, commercial credit reporting, then legal.
- Commercial debt is not consumer debt — the UCC and state law govern, and the statute-of-limitations clock (3–6 years) is finite.
- Recorded contact or a partial payment can toll or reset the clock — act while time is on your side.
- Choose a commercial-specialist, licensed and bonded, compliance-first agency that protects the relationship.

Getting started in three steps

1. Assemble the file — signed order form or MSA, itemized invoices, usage / delivery records, and the communication trail.
2. Send us a disputed or non-responsive account (or a whole batch) for an honest read on what the documentation supports.
3. Place at 90 days on pure contingency — no cost unless we recover.

Quick reference — contested & silent accounts

- **Dispute investigation:** typically adds 30–60 days; resolved on the documentation.
- **Escalation ladder:** third-party demand → omnichannel outreach → skip tracing → commercial credit reporting → legal.
- **Statute of limitations:** 3–6 years written (TX / CA 4 yrs, NY up to 6) — confirm the governing state.
- **Clock can reset:** a partial payment or written acknowledgment can toll it.
- **Fees:** pre-collection ~5–10% · contingency ~10–40% · \$0 upfront.
- **Judgments:** enforceable a decade or more, often renewable.

About Southwest Recovery Services

Southwest Recovery Services is a commercial, B2B-focused collection agency recovering business receivables on pure contingency since 2004. We work unpaid invoices for finance teams across the country — from subscription and SaaS balances to trade, freight, contracting, healthcare and professional-services receivables.

AT A GLANCE	
Recovering since	2004 — two decades of commercial receivables experience.
Track record	\$975M+ in receivables placed; \$76M+ recovered for clients; 800,000+ accounts worked

AT A GLANCE

Reach	Nationwide recovery across all 50 states, from 12 offices in 7 states.
Model	Pure contingency — \$0 upfront, no retainer, no minimum. No recovery, no fee.
Compliance & standing	Documented, dispute-respecting process; ACA International member; clean record since 2004.

Talk through a contested or silent account

Bring us a disputed invoice or a batch of non-responsive customers. We will tell you honestly what the documentation supports and how we would work it — on contingency, so there is no cost unless we recover.

Call [\(866\) 551-4684](tel:8665514684) · sdietz@swrecovery.com · swrecovery.com

Provided for general informational purposes and does not constitute legal advice. Statutes and enforcement rules vary by state; consult licensed counsel on your specific obligations. Southwest Recovery Services is a commercial collection agency recovering business (B2B) receivables nationwide.